

A Lauded Economy, a Struggling People

Uruguay exports clean electricity, record beef, and a model for the world. Its own people pay some of the highest prices in the hemisphere.

By Maya Chelle | Montevideo
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On a clear morning in the region of Tacuarembó, roughly four hours north of Montevideo, the wind turbines are already turning hours before the sun fully clears the horizon. There are hundreds of them, steel towers rising out of the rolling grassland, blades catching an uninterrupted southerly that sweeps up from Patagonia without anything much to stop it. Below them, Hereford cattle graze on natural pasture, unhurried, unmedicated, tagged at the ear with a number that connects them to a national database tracking every animal in Uruguay from birth to slaughter.

This is, by nearly any measure, a country that has gotten things right. Uruguay generates 99% of its electricity from renewable sources. It exports surplus clean power to its neighbors. Its beef carries traceability certifications that most of the world's cattle industries cannot match, commands premium prices in the most demanding markets on earth, and last year generated more than US\$2.6 billion in export revenue, a record.

The country exports food, energy, and software. It offers free education through college. It is stable, democratic, and broadly well-governed. Many reporters of lauded it as an unsung hero. It is, in the language of development economics, a success story.

And yet, on the shelves of a supermarket in Montevideo's Pocitos neighborhood, a kilogram of beef costs US \$10.52. A monthly electricity bill for a modest apartment can run to US\$80 or more. The price of a basket of basic goods places Uruguay alongside the United States and, mostly, well above every other country in Latin America. Most struggle to afford a home. Though demand and supply are high, Uruguayans cannot afford high-value apartments. A standard 60-square-meter, two-bedroom apartment costs around \$192,540, far exceeding median local purchasing power. In a neighborhood where the median monthly wage is around US\$1,100, the math doesn't add up.

"We joke that we live in Switzerland without Swiss salaries," says a schoolteacher in Montevideo's Malvín neighborhood. "It is often more expensive than the US. Again, without the higher pay. Everything here is expensive and nobody can explain why."

Several people can, in fact, explain why. The explanation runs through turbine contracts signed in the 2010s, a state electricity monopoly with little incentive to lower its prices, a trade bloc that charges some of the highest import tariffs in the hemisphere, and a beef industry so successfully oriented toward Chinese buyers that the product most associated with Uruguayan identity has become, for many Uruguayan families, an occasional luxury.

An Electricity Paradox

Uruguay's renewable energy transition is taught in policy schools. Beginning around 2008, the government used the state utility, UTE, to offer long-term guaranteed contracts, typically running twenty years, to private companies willing to build wind, solar, and biomass generation capacity. Wind capacity grew by a factor of roughly thirty. By 2024, the country was exporting electricity and earning around US\$104 million in the process.

Yet the same contracts that made the transition possible hide a problem. When those agreements were signed, wind and solar technology cost dramatically more than it does today. Global renewable energy prices have since fallen by between 50 and 90 percent depending on the technology. Uruguay's contracts have not. Many remain in force, obligating UTE to pay above-market rates for power it could now procure at a fraction of the cost. The country is, in effect, paying 2012 prices for electricity generated by 2024 technology. Consumers pay for it.

Residential electricity prices hover around 25.8 cents per kilowatt-hour.

For comparison: Brazil, which generates a significant share of its power from burning fossil fuels, charges around 16 cents. Chile charges roughly 20 cents. Uruguay, a country exporting clean surplus electricity across its borders, charges more than either.

UTE operates as a de-facto monopoly across most of the electricity value chain. The regulatory body that oversees it, URSEA, sets tariffs to ensure the utility recovers its costs and earns a regulated profit margin. There is no structure in place for falling generation costs to automatically translate into lower consumer bills. There is no retail market competition that might force the issue. UTE has an ongoing five-year capital investment program worth US\$1.8 billion. This includes grid expansion, storage systems, and modernization. This will continue flowing through to tariffs for years to come.

None of this means the renewable transition was a mistake. Still, the policy architecture has produced a pricing structure that needs to be corrected.

"The country decarbonized its grid," one Inter-American Development analyst familiar with Uruguay's energy sector noted. "But decarbonization and affordability are different problems, and only one of them got solved. We need to focus on the other one"

The Best Cuts Leave First

The beef sector, though different, reaches a similar result.

Uruguay's cattle industry is world-class. The national traceability system, SNIG, registers every animal. It favors free range, 'organic', no hormones, and no antibiotics. Cattle ranchers, or 'gauchos' are the cowboys of South America. The product commands export price premiums of between 18 and 34 percent above beef from Argentina, Brazil, and Paraguay. It has found, in China's expanding middle class, a buyer of unlimited appetite.

China now absorbs roughly 58% of Uruguay's total beef export volume. In 2025, exports to China exceeded US\$860 million. The relationship has made the Uruguayan beef sector wealthy, by local standards, and has funded investment in processing, cold-chain logistics, and traceability infrastructure that has improved the product's global standing.

It has also, gradually and then rapidly, redirected the best of what Uruguay produces away from Uruguayan tables.

Chinese buyers pay premium prices for premium cuts. Meat packers, operating rationally, allocate their highest-quality carcasses to the buyers willing to pay the most. What remains for the domestic market is not the same product at lower prices. It is a different selection: lighter carcasses, secondary cuts, the portions of the animal that don't achieve export specifications. Meanwhile, the gap left by premium beef heading overseas is filled by imports, primarily from Brazil and Paraguay, that now account for approximately 30% of Uruguay's domestic beef consumption.

Uruguayan consumers are, in other words, eating a growing share of their neighbors' beef while their own country's product feeds dinner tables in Shanghai. And they are paying US\$10.52 per kilogram for the privilege, up from around US\$6.80 in 2020, a 55% increase in five years that has significantly outpaced wage growth for most workers. Beyond financial strain, this hurts the country's cultural identity.

In a Montevideo butcher shop near the Mercado del Puerto, the owner, whose family has run the shop for three generations, has witnessed the change: "The good cuts, picaña, lomo-- I have cut my regular stock by half" he says, using the Portuguese and Spanish names for the sirloin cap and tenderloin cuts most associated with Uruguayan barbecue culture. "My regular customers, they ask for the cheaper pieces. Or they buy less. It used to be that beef was something you ate every week. Now it's a luxury."

The Tariff Wall

Behind both sectors sits another consequential force: Uruguay's membership in Mercosur, the regional trade bloc it co-founded with Argentina, Brazil, and Paraguay in 1991.

Mercosur has had its problems. Under the table trade deals and backstabbing galore. But it is currently considered stable. This bloc requires its members to apply a common external tariff on goods imported from outside the bloc. That tariff averages 11.3% across all product categories, among the highest for any regional trade arrangement globally. Every imported input that a Uruguayan business uses enters the country at a cost inflated by that tariff. That appears on shelf prices.

Uruguay has been, in various diplomatic registers, frustrated by this constraint for years. As the smallest full member of the bloc its GDP represents less than 4% of Mercosur's total. Uruguay has little leverage to reshape the tariff structure. The surrounding giants, Brazil and Argentina, designed it to protect industrial interests. The bloc's rules also prevent Uruguay from negotiating bilateral free trade agreements independently: any deal with China, the United States, or any other major economy requires the consent of all members. They have historically made difficult to reach an agreement.

The recently concluded EU-Mercosur Free Trade Agreement will eventually reduce some of this pressure, projecting a welfare gain for Uruguayan consumers of around 1.1% of real household income as European goods enter at lower tariffs. However implementation stretches over fifteen years.

Prosperity?

Uruguay is not a poor country pretending otherwise. Its poverty rate, while not negligible, is among the lowest in Latin America. Its public institutions function. Its health system is largely effective. It avoided the fiscal crises that have devastated neighboring nations. Low corruption rate, stable government, strong social services, green energy, exports, a stable job market. The country should succeed.

But Uruguay's cost structure has developed in a way that punishes ordinary households due to national policy. The renewable transition was indeed laudable, but the contract that drove it does not serve retail electricity affordability. The beef export industry has generated genuine wealth, but excludes the domestic market. Mercosur membership brought real benefits in the 1990s, but the tariff it locks Uruguay into now limits the country's trade and damages its economy.

The schoolteacher in Malvín puts it more simply. "We are told we should be proud of our beef, our clean energy, our democracy," she says. "And we are. But I went to the supermarket on Saturday and left two things behind because I couldn't afford them. One was beef. The other was butter. Explain that to me."

Nobody, quite yet, has a complete answer.

Sources consulted: Uruguay XXI Trade Statistics (2025); USDA GAIN Report -- Uruguay Livestock and Products Annual (2024); Kleinman Center for Energy Policy, University of Pennsylvania, "Learning from Uruguay's Energy Transition"; GlobalPetrolPrices.com (2026); World Bank, Uruguay Systematic Country Diagnostic; DatamarNews (2026); 2022 Uruguayan Beef Quality Audit.

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